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CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

ACCOUNTING

UNIT 1 – Paper 02

2 hours 45 minutes

24 MAY 2019 (a.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper comprises THREE questions. Answer ALL questions.
2. Write your answers in the booklet provided.
3. You may use a silent, non-programmable calculator to answer questions.
4. ALL working must be clearly shown.

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DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

MODULE 1

ACCOUNTING THEORY, RECORDING AND CONTROL SYSTEMS

1. (a) Jack Sparrow Inc. (JSI) reported the following amounts in the shareholders' equity section of the statement of financial position at 01 January 2017, the beginning of the current fiscal year.

	$
10% preferred share, no par value (40 000 shares authorized, 5000 shares issued)	375 000
Common shares, $20 par value (500 000 shares authorized, 10 000 shares issued)	200 000
Contributed capital in excess of par share premium	30 000
Retained earnings	1 130 000

During the year, JSI completed the following transactions concerning shareholders' equity:

- Issued 1000 shares of 10% preferred shares at $110 on 01 July 2017
- Issued 2000 common shares at $25 on 01 October 2017
- Declared cash dividend on the preferred shares and $0.25 per share on the common stock on 01 December 2017
- Paid the cash dividend on 31 December 2017

Prepare the journal entries to record the transaction. **[10 marks]**

(b) Outline FOUR basic rights that are associated with the ownership of a share of common stock. **[8 marks]**

(c) On 01 January 2017, Crabtree Corporation pays cash of $450 000 for 45% of the common stock and net assets of Passion Ltd. For the year ended 31 December 2017, Passion Ltd reported net income of $126 000 and declared and paid $50 000 in dividends to its common shareholders.

In the books of Crabtree Corporation,

(i) prepare the journal entries to account for this investment **[6 marks]**

(ii) calculate the closing balance of the investment in Passion Ltd on the books of Crabtree Corporation. **[2 marks]**

(d) (i) List THREE reasonable assurances that should be provided by internal accounting controls. **[3 marks]**

(ii) Explain how revenues are reported on the income statements under BOTH the cash basis of accounting and the accrual basis of accounting and give ONE example of EACH. **[6 marks]**

Total 35 marks

MODULE 2

PREPARATION OF FINANCIAL STATEMENTS

2. (a) The following selected accounts and their current balances appear in the ledger of Cutting Ltd for the financial year ended 30 September 2018.

		$ 000
IC	Sales	~~720 000~~
IC	Inventory (01 October 2017) OS	~~145 600~~
IC	Sales returns and allowances	~~17 300~~
IC	Sales discounts	~~13 200~~
	Purchases	~~560 000~~
S+D	Sales salaries expense	~~62 400~~
Ad	Office salaries expense	~~21 800~~
S+D	Advertising expense	~~11 760~~
AD	Rent expense	~~8 400~~
S+D	Depreciation expense — store equipment	~~3 500~~
Ad	Depreciation expense — office equipment	~~2 800~~
Ad	Office supplies expense	~~720~~
	Interest revenue OCI	4 000
	Interest expense + tax	2 800
Ad	Insurance expense	~~1 860~~
	Rent revenue OCI	1 000
S+D	Miscellaneous selling expense	~~790~~
Ad	Miscellaneous admin expense	~~650~~

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Additional information

- The physical count of inventory on hand at 30 September 2018 was $149 000. CS
- The corporate tax rate is 25%.

Required

Income Statement

Prepare a multi-step statement of comprehensive income for Cutting Ltd in accordance with IAS1 and IFRS for SMEs. **[16 marks]**

S
– SD
– SR
Net Sales
Less: COGS
OS
+ P
– PD
– PR
Net P
COGAFS
– CS
COGS

OCI
NP before tax + interest
Tax
Interest
NP after tax + interest

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(b) Distinguish between 'corporations' and 'cooperatives'. **[8 marks]**

(c) Davis, Grant and Rachel are partners in an auto repair shop, Southside Auto Repairs. The three partners share profits in the following ratios Davis ¼, Grant ¼ and Rachel ½. At 31 December 2018, the following capital and drawing balances were reflected on the partners' account.

	Capital **$**	**Drawings** **$**
Davis	60 000	13 000
Grant	70 000	14 000
Rachel	100 000	23 000

The net income for the partnership for the year ended 31 December 2018 was $80 000.

(i) Prepare a statement of partners' equity for the current year. **[9 marks]**

(ii) On 01 January 2019, following the closing of the 2018 accounts for Southside Auto Repairs, Davis retired from the partnership and sold his interest to his fellow partners for $80 000. Rachel and Grant agreed to make the payment to Davis from their personal funds.

Prepare the journal entry to record the sale of partner's interest. **[2 marks]**

Total 35 marks

D - 25
G - 25
R - 50

NI = 80,000

	D	G	R	Total
Capital	60	70	100	230
Drawings	(13)	(14)	(23)	(50)
NI	20	20	40	80
	67	76	117	260

Davis' Interest	80	
Rachel		40
Grant		40

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MODULE 3

FINANCIAL REPORTING AND INTERPRETATION

3. (a) The comparative financial statements for Rainbow Corp for the years ended 31 December 2017 and 2016 are as follows.

Rainbow Corp

Statement of Financial Position

	2017	2016
	$ 000	**$ 000**
Assets		
Non-current assets		
Property, plant and equipment (net)	2093	1948
Long-term investments	250	225
	2343	2173
Current assets		
Other current assets	180	170
Inventory	750	630
Accounts receivable (net)	425	390
Cash	175	140
	1530	1330
Total assets	3873	3503
Equity and liability		
Equity		
Ordinary share, $10 par	500	500
Retained earnings	880	730
Total equity	1380	1230
Non-current liabilities		
Bonds 8%	1710	1710
Current liability		
Trade payables	516	389
Accruals	267	174
	783	863
Total equity and liability	3873	3503

Statement of Comprehensive Income

	2017	2016
	$ 000	$ 000
Sales (net)	5000	4200
Cost of sales	(3300)	(2500)
Gross profit	1700	1600
Operating expenses	(975)	(680)
	725	920
Other income	25	17
Profit before tax	750	937
Tax	(180)	(253)
Profit for the period	570	684

Additional information:

– All sales are made on credit.

Calculate the following ratios for 2017:

(i) Acid-test ratio – $\frac{\text{CA - Stock - prepaids}}{\text{CL}}$ **[2 marks]**

(ii) Gross profit margin $\frac{\text{GP}}{\text{Sales}} \times 100$ **[2 marks]**

(iii) Net income margin $\frac{\text{NP}}{\text{Sales}} \times 100$ **[2 marks]**

(b) Assess the performance of Rainbow Corp for 2017 in terms of

(i) inventory turnover – $\frac{\text{COS}}{\text{AS}}$ **[6 marks]**

(ii) average collection period. $\frac{\text{Debtor}}{\text{Credit Sales}} \times 365$ **[6 marks]**

(c) Distinguish between 'solvency analysis' and 'profitability analysis', giving TWO examples of a ratio used in EACH analysis. **[4 marks]**

gearing +

GP
NP

(d) Use the following information to indicate

- how EACH item should be classified and reported, on the statement of cash flows
- the amount of cash flows associated with the activity.

(i) Office equipment which had a cost of $200 000, and on which there was accumulated depreciation of $90 000 on the day of the sale, was sold for $120 000. **[4 marks]**

(ii) Land with an acquisition price of $460 000 was purchased with a cash payment of $210 000 and a long-term mortgage for the remainder. **[4 marks]**

(iii) The board of directors declared cash dividends totalling $120 000 during the current year. The comparative balance sheet indicates dividends payable of $40 000 at the beginning of the year and $55 000 at the end of the year. **[3 marks]**

(iv) The issue of a total of 9000 common stock, $10 par with 7000 for cash and 2000 via a stock dividend at a price of $17 per share. **[2 marks]**

Total 35 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.